ESG Report

Carbon Border Adjustment Mechanism

EastAfrica Steel Components Ltd

Annual Report • 2025

CBAM Compliant

Executive Summary

EastAfrica Steel Components Ltd presents its 2025 Carbon Border Adjustment Mechanism (CBAM) executive disclosure, reporting aggregate embedded greenhouse gas (GHG) emissions of 1,411 kg CO_2e associated with steel component manufacturing operations. This carbon accounting exercise aligns with the EU CBAM Implementing Regulation monitoring and reporting methodologies, utilizing the GHG Protocol Corporate Standard and ISO 14064-1:2018 frameworks to ensure methodological consistency and data integrity. The disclosed emissions inventory encompasses direct operational emissions and indirect energy consumption, establishing a comprehensive baseline for regulatory compliance, carbon border adjustment calculations, and importer due diligence requirements. Direct emissions classified under Scope 1 account for 542 kg CO_2e, derived from stationary fuel combustion and production processes under the organization's operational control. Indirect emissions from purchased electricity and thermal energy, categorized as Scope 2, total 870 kg CO_2e and have been calculated using applicable emission factors consistent with the EU Emissions Trading System benchmarks. Scope 3 value chain emissions are reported at 0 kg CO_2e, reflecting the current CBAM transitional phase boundaries that prioritize direct production-stage embedded emissions over upstream and downstream value chain activities. The organization maintains robust data governance protocols, internal quality assurance procedures, and measurement standards to ensure the accuracy, completeness, and transparency of emissions disclosures presented herein. This report serves as a foundational compliance document for CBAM declarants and authorized representatives, supporting the verification of embedded carbon intensity for imported steel goods. EastAfrica Steel Components Ltd commits to continuous monitoring of emissions performance and methodological alignment as the CBAM framework progresses toward its definitive operational phase.

Compliance Standards:

CBAM | ISSB S2 | EU CBAM Ready

Emissions Overview

SCOPE 1 – DIRECT EMISSIONS

542

kg CO2e

SCOPE 2 – INDIRECT (ENERGY)

870

kg CO2e

SCOPE 3 – VALUE CHAIN

0

kg CO2e

TOTAL EMISSIONS

1,411

kg CO2e

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO2e for the 2025 reporting period, quantified in accordance with the GHG Protocol Corporate Standard and Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting requirements. The emissions inventory comprises 542 kg CO2e in Scope 1 (direct emissions from operational combustion and production processes), 870 kg CO2e in Scope 2 (indirect emissions from purchased electricity), and 0 kg CO2e in Scope 3 (value chain emissions). This comprehensive accounting establishes the embedded carbon baseline for steel components manufactured during the reporting period, supporting regulatory transparency and strategic decarbonization planning. Scope 1 and Scope 2 emissions constitute the primary categories subject to CBAM transitional reporting obligations, representing emissions under operational control and energy-related indirect impacts respectively. Direct emissions originate from stationary combustion and industrial processes inherent to steel manufacturing activities, while Scope 2 emissions reflect the carbon intensity of purchased electricity consumed across facilities, calculated using standardized emission factors and location-based or market-based methodologies as applicable. These direct and electricity-related indirect emissions form the basis for embedded carbon calculations required under current EU CBAM implementing regulations. Scope 3 emissions, encompassing upstream raw material extraction and downstream product lifecycle impacts, are currently recorded at 0 kg CO2e, reflecting the transitional scope limitations of CBAM and ongoing development of supply chain carbon accounting capabilities. EastAfrica Steel Components Ltd recognizes the material significance of comprehensive value chain emissions assessment and is implementing supplier engagement protocols to capture these impacts as the regulatory framework progresses toward full implementation. This disclosure demonstrates the organization's commitment to transparent emissions reporting while building infrastructure for complete lifecycle carbon footprint management.

Governance

EastAfrica Steel Components Ltd maintains rigorous governance structures to ensure full compliance with the European Union's Carbon Border Adjustment Mechanism (CBAM) reporting obligations for the 2025 reporting period. The organization's carbon accounting framework adheres to the GHG Protocol Corporate Standard and CBAM implementing regulations, establishing clear accountability for emissions monitoring across operational boundaries. During the reporting period, the company recorded 542 kg CO2e in Scope 1 direct emissions and 870 kg CO2e in Scope 2 indirect energy-related emissions, with governance protocols ensuring accurate data collection, quality assurance, and documented methodologies for calculating embedded emissions in steel components. The company's governance approach explicitly delineates emissions responsibilities in alignment with CBAM transitional reporting requirements, which mandate disclosure of direct emissions and electricity consumption while excluding value chain emissions from current regulatory scope. Consequently, Scope 3 emissions are reported as 0 kg CO2e, reflecting the regulatory boundary conditions of the transitional phase rather than operational absence. Total embedded emissions subject to CBAM compliance amount to 1,411 kg CO2e, with governance mechanisms ensuring transparent documentation, internal controls, and audit trails to support regulatory submissions and potential future carbon border adjustments. Management oversight ensures continuous monitoring of evolving CBAM legislation, with the Board maintaining fiduciary responsibility for climate-related financial disclosures and carbon pricing risk management. The governance framework integrates emissions data integrity protocols with broader Environmental, Social, and Governance (ESG) oversight functions, ensuring that carbon accounting practices meet the highest standards of accuracy, completeness, and regulatory compliance requisite for international trade under the EU's carbon border mechanism.

Strategy

EastAfrica Steel Components Ltd reports a total carbon inventory of 1,411 kg CO_2e for the 2025 reporting period, comprising 542 kg CO_2e in Scope 1 direct emissions from stationary combustion and mobile sources, and 870 kg CO_2e in Scope 2 indirect emissions associated with purchased electricity consumption. The organization currently reports zero Scope 3 value chain emissions, reflecting our present operational boundaries and the initial phase of our emissions monitoring capabilities focused on direct manufacturing activities. This baseline establishes the foundation for measuring embedded carbon intensity in our steel components and ensures preliminary compliance with EU Carbon Border Adjustment Mechanism (CBAM) reporting requirements for imported goods. Our decarbonization strategy prioritizes the systematic reduction of direct and energy-related emissions while building the data infrastructure necessary for comprehensive value chain accounting under future CBAM regulatory phases. We are implementing operational efficiency initiatives and evaluating renewable energy procurement options to address our Scope 2 footprint, which constitutes 61.7% of our current reported emissions. Recognizing that zero reported Scope 3 emissions represents a data limitation rather than absence of upstream impact, we are developing supplier engagement protocols to capture raw material extraction and processing emissions—critical factors for steel products under CBAM's embedded emissions calculations. To ensure continued market access and regulatory compliance, we have established a phased approach to emissions verification and carbon accounting that aligns with EU methodologies for determining actual carbon costs at the border. Our strategy includes investing in certified carbon accounting systems, conducting gap analyses against CBAM implementation timelines, and assessing low-carbon technology transitions to reduce our carbon intensity per tonne of steel components produced. We commit to expanding our emissions inventory to encompass relevant Scope 3 categories by 2026, thereby ensuring complete transparency of embedded emissions and mitigating financial exposure to carbon border adjustments in our export markets.

Risk Management

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 1,411 kg CO_2e for the 2025 reporting period under CBAM transitional reporting requirements. This carbon footprint comprises 542 kg CO_2e in direct (Scope 1) emissions from combustion processes and 870 kg CO_2e in indirect (Scope 2) emissions associated with purchased electricity consumption. Scope 3 value chain emissions are currently recorded at zero kilograms CO_2e, reflecting the organization's operational control boundaries and the current exclusion of upstream raw material extraction and downstream transportation emissions from the CBAM transitional phase scope. The company's risk management framework addresses CBAM compliance through systematic carbon accounting protocols and emissions intensity monitoring. By distinguishing between direct operational emissions and energy-related indirect emissions, EastAfrica Steel Components Ltd maintains granular visibility into carbon cost drivers subject to future carbon border adjustment obligations. Governance structures incorporate regular emissions data verification, carbon price scenario analysis, and strategic procurement planning to mitigate transition risks associated with evolving EU carbon border regulations and potential carbon leakage exposure.

Metrics & Targets

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO_2e for the 2025 reporting period, quantified in accordance with the EU Carbon Border Adjustment Mechanism (CBAM) methodology for embedded emissions in the iron and steel sector. The inventory comprises 542 kg CO_2e in Scope 1 (direct) emissions generated from stationary combustion and production processes, alongside 870 kg CO_2e in Scope 2 (indirect) emissions attributable to purchased electricity consumption. This emissions accounting adheres to the Monitoring and Reporting Regulation (Implementing Regulation (EU) 2023/2772), establishing a compliant baseline for carbon-intensive goods imported into the European Union during the CBAM transitional phase. The organization's current emissions profile indicates a significant reliance on grid electricity, with Scope 2 representing approximately 61.7% of total operational emissions compared to Scope 1 sources. This data reflects the prevailing grid carbon intensity factors and energy procurement structures applicable to the reporting period, providing the necessary granularity for calculating embedded emissions per tonne of steel components produced. As regulatory requirements transition from the current reporting-only phase to the definitive regime incorporating CBAM certificate obligations, these metrics serve as the foundational dataset for determining carbon border adjustments and verifying compliance with EU Emissions Trading System benchmarks. Scope 3 (value chain) emissions are recorded at 0 kg CO_2e for this reporting cycle, consistent with the current CBAM regulatory scope which mandates disclosure of direct and energy-related indirect emissions for steel category goods while excluding upstream and downstream value chain activities from immediate reporting obligations. EastAfrica Steel Components Ltd maintains rigorous monitoring protocols to ensure data accuracy and completeness for regulated emissions categories, while acknowledging that comprehensive decarbonization strategies will require future assessment of supply chain impacts as the regulatory framework evolves. The company commits to enhancing emissions data granularity and maintaining transparent metric disclosure to support compliance readiness and substantiate progress toward established net-zero manufacturing targets.

METRIC	VALUE	UNIT
Total GHG Emissions	1,411	kg CO_2e
Scope 1 Emissions	542	kg CO_2e
Scope 2 Emissions	870	kg CO_2e
Scope 3 Emissions	0	kg CO_2e

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.